



May 31, 2023

Senator Andrea Stewart-Cousins
President Pro Tempore and Majority Leader
New York Senate
Legislative Office Bldg., Room 907
Albany, NY 12247

Assemblymember Carl E. Heastie
Speaker of the New York Assembly
Legislative Office Bldg., Room 932
Albany, NY 12248

Senator Liz Krueger
Chair of the Senate Finance Committee
Capitol Building, Room 416
Albany, NY 12247

Senator Thomas F. O'Mara
Ranking Member of the
Senate Finance Committee
Legislative Office Bldg., Room 706
Albany, NY 12247

Senator Leroy Comrie
Legislative Office Bldg., Room 612
Albany, NY 12247

Senator Robert Jackson
Legislative Office Bldg., Room 306
Albany, NY 12247

Assemblymember Nily Rozic
Legislative Office Bldg., Room 941
Albany, NY 12248

Senator Robert G. Ort
Minority Leader
New York Senate
Capitol Building, Room 315
Albany, NY 12247

Assemblymember Crystal D. Peoples-Stokes
Majority Leader of the New York Assembly
Legislative Office Bldg., Room 926
Albany, NY 12248

Assemblymember Jeffrey Dinowitz
Chair of the Assembly Committee on Codes
Legislative Office Bldg., Room 632
Albany, NY 12248

Senator Kevin Thomas
Legislative Office Bldg., Room 947
Albany, NY 12247

Senator Brad Hoylman-Sigal
Legislative Office Building, Room 310
Albany, NY 12247

Assemblymember Andrew Hevesi
Legislative Office Bldg., Room 626
Albany, NY 12248

Assemblymember Daniel Rosenthal
Legislative Office Bldg., Room 441
Albany, NY 12248

RE: New York S365A / A7423 – Oppose

Dear Senate President Pro Tempore and Majority Leader Stewart-Cousins, Senate Majority Leader Ort, Assembly Speaker Heastie, Assembly Majority Leader Peoples-Stokes, Chair Krueger, Chair Dinowitz, Ranking Member O'Mara, Senator Thomas, Senator Comrie, Senator Hoylman-Sigal, Senator Jackson, Assemblymember Hevesi, Assemblymember Rozic, and Assemblymember Rosenthal:

On behalf of the advertising industry, we write to oppose the “New York privacy act” under New York S365A and A7423 (hereinafter, the “Act”).¹ We offer this letter to express our non-exhaustive list of concerns about this overly restrictive legislation, as well as the potential harms it presents to consumers and the New York economy.

New York, including the famous “Madison Avenue,” continues to be one of the largest and most important hubs for advertising in the world. In particular, New York’s 5th through its 15th congressional districts house over 350 advertising agencies, agency subsidiaries, or agency branch offices that make up a significant portion of our membership. Advertising plays an exceedingly important role in New York’s economy, as described in more detail in **Appendix A**. New Yorkers benefit significantly from the state’s support of the advertising industry. One study found that the ad-supported Internet contributed 431,723 full time jobs to the New York economy in 2020, nearly double the number of Internet-driven jobs in the state from 2016.² Advertising thus serves as an indispensable driver of employment, opportunity, and economic growth in the state, and legislation like the Act that would impede or unreasonably hinder responsible advertising would have a negative impact on consumers and businesses of all sizes.

As the nation’s leading advertising and marketing trade associations, we collectively represent thousands of companies across the country. The companies we represent range from small businesses to household brands, advertising agencies, and technology providers. Our combined membership includes more than 2,500 companies that power the commercial Internet, which accounted for 12 percent of total U.S. gross domestic product (“GDP”) in 2020.³ As a state with a storied and substantial history of supporting and championing the value of advertising to the economy, New York should not take steps to enact the most onerous advertising restrictions in the nation by passing the Act. We would welcome the opportunity to engage with you further on our suggested amendments to the Act, as outlined below.

We and the companies we represent believe consumers deserve meaningful privacy protections supported by reasonable government and responsible industry policies. However, the Act was substantially and significantly amended in May 2023 without undergoing any kind of meaningful debate via hearings in substantive legislative committees. The Act should not be rushed through to passage in the last few days of New York’s regular legislative session, as it deserves to receive the benefit of fulsome committee consideration and opportunities for stakeholder input. Moreover, the Act represents an approach to privacy that is disharmonized with virtually every other state that has passed privacy legislation to date. State efforts to pass privacy laws only add to the increasingly complex privacy landscape for both consumers and businesses throughout the country.

Legislative proposals like the Act, which vary significantly from other state privacy laws which are already in effect, could inadvertently harm New Yorkers by depriving them of access to valuable online products and services that are advertising-supported and provided for free or at a low cost. One recent study suggests that the average consumer benefits from a \$30,000 per-year subsidy due to ad-supported Internet services (including independent journalism, email, video, and a host of other services too numerous to mention), and consumers prefer this ad-supported

¹ New York S365A, 2023 Leg. Sess., located [here](#); New York A7423, 2023 Leg. Sess., located [here](#) (collectively, the “Act”).

² Compare John Deighton and Leora Kornfeld, *The Economic Impact of the Market-Making Internet*, INTERACTIVE ADVERTISING BUREAU, 130-31 (Oct. 2021), located [here](#) (hereinafter, “Deighton & Kornfeld 2021”) with John Deighton, Leora Kornfeld, and Marlon Gerra, *Economic Value of the Advertising-Supported Internet Ecosystem*, INTERACTIVE ADVERTISING BUREAU, 106 (2017), located [here](#) (finding that Internet employment contributed 243,003 full-time jobs to the New York workforce in 2016 and 431,723 jobs in 2020).

³ Deighton & Kornfeld 2021 at 124-25.

model.⁴ The Act's onerous requirements would threaten this deeply subsidized Internet access all New Yorkers enjoy, all the while inhibiting innovation, threatening jobs, and impeding healthy economic competition without providing New Yorkers with commensurate privacy protections.

To help ensure New York residents can continue to benefit from the ad-supported Internet, we recommend that the New York legislature undertake a study of the many practical and beneficial uses of data about consumers that exist today, as well as other jurisdictions' approaches to consumer data privacy protection. As presently written, the Act falls short of creating a regulatory system that would work well for both consumers and businesses. Our concerns with the Act include the following:

- **The Act's definition of "targeted advertising" should be updated to match the definition of the term in other state privacy laws.** The Act would define "targeted advertising" as "advertising based upon profiling."⁵ This definition differs from the definition of the term "targeted advertising" in virtually every other state and does not include vital exemptions for advertisements based on activities within a controller's own websites or online applications, contextual advertising, advertisements directed to a consumer in response to a request for information or feedback, and processing personal data for ad measurement, reporting, frequency, and delivery.⁶ The Act's definition could also sweep in uses of a company's own first-party data for advertising, an approach that stands in stark contrast to the way targeted advertising has been defined for decades and by all other states that have enacted privacy laws. The definition of targeted advertising in the Act should be updated to match the definition of the term in other state privacy laws to help foster consistency and to better reflect the widespread, longstanding market understanding of the term.
- **The Act should be harmonized to include a concept of pseudonymous data.** The vast majority of state privacy laws define a category of data called "pseudonymous data" and exempt it from all consumer rights except for the rights to opt-out. New York should match this approach. Pseudonymous data is personal data that cannot be attributed to a specific individual without the use of additional information, provided such additional information is kept separately and is subject to appropriate technical and organizational measures to ensure that the personal data is not attributed to an identified or identifiable individual. If pseudonymous data is included in the scope of requests to access, delete, correct, and port personal data, controllers could be forced to reidentify data sets that would otherwise remain non-identified—a measure that would cut against preserving consumer privacy rather than enhance it. The Act should be updated to exempt pseudonymous data from consumer rights of access, correction, deletion, and portability.
- **The Act should remove the requirement to list the "sources" of personal data in a privacy notice.** As drafted, the Act would require controllers to disclose the "sources" of personal data in a privacy notice.⁷ Sources of personal data may change on a weekly or even daily basis for controllers; if the requirement to disclose specific data sources becomes law, controllers will be forced to pause commercial activities until they can update their privacy policies to appropriately disclose all sources of data. The requirement would likely involve weekly if not daily updates to privacy notices, thereby placing an unreasonable and onerous burden on controllers to add trivial content to notices that would provide minimal consumer

⁴ J. Howard Beales & Andrew Stivers, *An Information Economy Without Data*, 2 (2022), located [here](#).

⁵ Act at § 1100(25).

⁶ See, e.g., Va. Code Ann. § 59.1-575; Colo. Rev. Stat. § 6-1-1303(25); Connecticut SB 6 (2022), Pub. Act 22-15, § 1(28).

⁷ Act at § 1102(1)(a)(iii).

benefits. The Act should be updated to require disclosure of the *categories* of sources of personal data rather than the specific sources themselves, as this approach aligns with requirements under other state privacy laws and would considerably ease the operational complexity and burdens that would come with the need to update notices every time a controller adds or changes a data source.

- **The Act should include baseline safeguards for “user-enabled privacy controls.”** The Act would permit consumers to opt-out through a user-enabled privacy control set via a browser, plug-in, operating system, device setting, or other mechanism.⁸ However, the Act does not include any safeguards to ensure the control cannot be turned on by intermediary companies by default, cannot disadvantage other controllers in the marketplace, or does not conflict with other commonly used privacy settings. The Act also does not include any safeguards to ensure such controls are clearly described, are tied to a clear consumer action to enable the control, controllers can adequately verify the jurisdiction relevant to the control, or the control allows consumers to consent to sales, targeted advertising, or profiling after previously opting out through the control. These safeguards are prevalent across the states that have enacted privacy laws and have permitted opt-outs through user-enabled privacy controls.⁹ New York should update the Act to ensure these standard safeguards for user-enabled privacy controls are included to protect consumer choice and reduce potential anticompetitive effects.
- **The Act should remove the deletion and correction flow down requirements to third parties.** As drafted, the Act would require controllers to communicate deletion requests to each third party to whom the controller disclosed, transferred, or sold the personal data within one year preceding the consumer's request, and would require those third parties to do the same for any further third parties to which they disclosed, transferred, or sold personal data.¹⁰ This requirement would impose an unreasonable and onerous requirement on controllers and third parties to attempt to claw data back from entities to which they previously and legally had transferred personal data. In addition, such an approach would take away consumer choice, because the Act would require one action to be applied more broadly than a consumer may prefer. In particular, a consumer that elects to exercise their rights with respect to one controller may not want that choice to affect its relationship with other controllers or third parties. The deletion and correction flow down requirements to third parties should be removed from the Act.
- **The Act should clarify it does not provide for a private right of action.** The Act does not explicitly state that it would not permit a private right of action for violations. The Act should make expressly clear that it does not provide for a private right of action so plaintiff's attorneys and the trial bar do not have the chance to bog New York's courts down with private claims due to equivocal terms in legislation. Allowing private actions would flood New York's courts with frivolous lawsuits driven by opportunistic trial lawyers searching for technical violations, rather than focusing on actual consumer harm.¹¹ The Act should make exceedingly clear that it would not permit private actions for violations of its terms.

⁸ *Id.* at § 1102(2)(e). Note that an apparent drafting error in the Act appears to require controllers to treat signals that communicate a consumer's choice **not to opt-out** as a decision to, in fact, opt-out under the Act. *Id.* This drafting error should be fixed.

⁹ *See, e.g.*, Cal. Civ. Code 1798.185(a)(19)(A); Colo. Rev. Stat § 6-1-1313(2); Connecticut SB 6 (2022), Pub. Act 22-15, § 6(e)(ii).

¹⁰ Act at § 1102(6)(c)(ii), (7)(a)(ii).

¹¹ A select few attorneys benefit disproportionately from private right of action enforcement mechanisms in a way that dwarfs the benefits that accrue to the consumers who are the basis for the claims. For example, a study of 3,121

- **The Act should conform its civil penalty amount to that of other state privacy laws.** The majority of state privacy laws permit civil penalties of up to \$7,500 per violation.¹² As drafted, the Act would make New York a significant outlier by permitting civil penalties of up to \$20,000 per violation.¹³ This proposed penalty would have the effect of discouraging businesses from entering the New York market due to the threat of exorbitant legal fines. The Act should be updated so it permits the New York Attorney General (“NY AG”) to exact penalties in line with other states.
- **The Act should not include regulatory authority for the NY AG.** As presently drafted, the Act would permit the NY AG to issue regulations to implement its terms.¹⁴ Including regulatory authority in the Act gives it the potential to diverge even further from other state privacy requirements than it already does. Harmonization across state privacy law standards is in the best interests of consumers and businesses alike. Compliance costs associated with divergent privacy laws are significant. To make the point: a regulatory impact assessment of the California Consumer Privacy Act of 2018 concluded that the initial compliance costs to California firms would be \$55 billion.¹⁵ Another recent study found that a consumer data privacy proposal in a different state considering privacy legislation would have generated a direct initial compliance cost of \$6.2 billion to \$21 billion and an ongoing annual compliance costs of \$4.6 billion to \$12.7 billion for the state.¹⁶ Other studies confirm the staggering costs associated with varying state privacy standards. One report found that state privacy laws could impose out-of-state costs of between \$98 billion and \$112 billion annually, with costs exceeding \$1 trillion dollars over a 10-year period, and with small businesses shouldering a significant portion of the compliance cost burden.¹⁷ New York should not add to this compliance bill for businesses by enabling the NY AG to issue regulations that may contradict or contrast with privacy requirements in other states. The regulatory authority should be removed from the Act.

* * *

We and our members support protecting consumer privacy. We believe, however, that the Act takes an overly restrictive approach to the collection, use, and disclosure of data about consumers that will unnecessarily impede New York residents from receiving helpful services and accessing useful information online. We therefore respectfully ask you to reconsider the Act and instead study its potential impacts, both positive and negative, so that New York and New Yorkers can benefit from the legislature’s careful consideration of other approaches to data privacy. We would also very much welcome the opportunity to further engage with you and

private actions under the Telephone Consumer Protection Act (“TCPA”) showed that approximately 60 percent of TCPA lawsuits were brought by just forty-four law firms. Amounts paid out to consumers under such lawsuits proved to be insignificant, as only 4 to 8 percent of eligible claim members made themselves available for compensation from the settlement funds. U.S. Chamber Institute for Legal Reform, *TCPA Litigation Sprawl* at 2, 4, 11-15 (Aug. 2017), located [here](#).

¹² See, e.g., Cal. Civ. Code § 1798.155; Va. Code Ann. § 59.1-584(C).

¹³ Act at § 1106(1).

¹⁴ Act at § 1107(3).

¹⁵ See State of California Department of Justice Office of the Attorney General, *Standardized Regulatory Impact Assessment: California Consumer Privacy Act of 2018 Regulations*, 11 (Aug. 2019), located [here](#).

¹⁶ See Florida Tax Watch, *Who Knows What? An Independent Analysis of the Potential Effects of Consumer Data Privacy Legislation in Florida*, 2 (Oct. 2021), located [here](#).

¹⁷ Daniel Castro, Luke Dascoli, and Gillian Diebold, *The Looming Cost of a Patchwork of State Privacy Laws* (Jan. 24, 2022), located [here](#) (finding that small businesses would bear approximately \$20-23 billion of the out-of-state cost burden associated with state privacy law compliance annually).

legislative leaders about our industry self-regulatory efforts that are continually seeking to enhance privacy protections around the collection and use of data about consumers.

Thank you in advance for consideration of this letter.

Sincerely,

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CC: Members of the New York Senate
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APPENDIX A ADVERTISING



Is Essential in **New York**

The Association of National Advertisers (ANA) is America's oldest and largest advertising trade organization, comprised of more than 1,600 members – advertisers, nonprofits, media companies, and other marketing solutions providers – representing over 20,000 brands and 50,000 industry members that collectively invest \$400 billion in marketing and advertising annually. Federal legislation must preserve the economic benefits of advertising and marketing by ensuring that responsible advertising continues to provide access to products and services and fuels the American economy.

Advertising is the lifeblood of the modern American economy. Every dollar spent on advertising has a cascading nationwide multi-sector effect, driving direct product sales, supplier purchasing, and generating buying power for consumers. Advertising supported nearly 20 percent of the U.S. Gross Domestic Product (GDP) in 2020, generating \$7.1 trillion in sales.

Advertising supports American jobs. The advertising industry directly employs a substantial workforce, and advertising creates jobs throughout the economy by generating sales and revenue for advertisers. The advertising industry supported 28.5 million American jobs in 2020, with every 1 advertising job supporting 51 jobs across other industries.

Advertising facilitates a competitive market.

Advertising allows businesses of all sizes to access the marketplace and reach potential customers. Small businesses and Main Street businesses heavily rely on advertising to achieve competitive footing. Unreasonable resections on advertising harm small businesses while creating market concentration.

Advertising spurs innovation. Advertising allows the creators of the next great American product or service to connect with interested consumers about groundbreaking product designs, health benefits, and technological advances.

Advertising lowers prices for consumers. Restrictions on advertising reduce opportunities to discover new products and services, and raise prices, while vibrant advertising markets lower prices. Advertising the prices of products encourages competition, lowering prices for goods like retail gasoline and prescription drug prices thanks to increased price transparency.

Advertising empowers consumer choice. Advertising connects consumers to brands, products, and services that meet their needs and enables self-expression. Effective advertising increases consumer satisfaction by reducing repeat viewing of ads and promoting variety and relevance.

\$652.7 billion in economic activity



Advertising helped generate \$652.7 billion in economic activity in New York

1.98 million Jobs



Advertising helped support 1,978,738 million or 20.1% of all jobs in New York

Every 1 advertising job supported



47 New York Jobs